Creating Our App Databases

When we created our Rails project, we did so with the default settings, which assumed we were using sqlite for our database. Now that we're setting up Postgres instead, the generated database.yml file is not correct. We need to change it to something more suitable.

Let's open up config/database.yml in an editor and replace its contents with the following Postgres configuration:

```
default: &default
  adapter: postgresql
  encoding: unicode
  host:     <%= ENV.fetch('DATABASE_HOST') %>
  username: <%= ENV.fetch('POSTGRES_USER') %>
  password: <%= ENV.fetch('POSTGRES_PASSWORD') %>
  database: <%= ENV.fetch('POSTGRES_DB') %>
  pool: 5
  variables:
    statement_timeout: 5000

development:
  <<: *default

test:
  <<: *default
  database: myapp_test

production:
  <<: *default
```

Hopefully, this all looks pretty familiar to you.

We're specifying the most important config (host, username, password, and database) via environment variables. Generally this is considered a good practice,[6] although, as we'll see later, Docker provides an even more secure approach. Currently, though, these environment variables are not set for our web service.

Let's fix that. We have to update our docker-compose.yml to ensure these variables are set in our Rails app container, like so:

```
version: '3'

services:

  web:
    build: .
    ports:
      - "3000:3000"
```

6. https://12factor.net/config